November 2, 2026
Brazil Equity Strategy

XP IFAs Sentiment Survey

Post-election sell-off hits IFAs' sentiment...

...which falls to its lowest level since January 2025

In this edition of our survey with advisors and IFAs affiliated with XP, conducted right after the presidential runoff, we saw a sharp deterioration in risk appetite and in sentiment towards equities. The key takeaways are: **(i)** The share of respondents planning to reduce their equity allocation jumped to 24% (+13 p.p. MoM), the highest since January 2025; **(ii)** IFAs' sentiment towards equities fell to 5.1, from 6.8 in September (on a 0-10 scale), the largest monthly drop in our series; **(iii)** The average YE2026 Ibovespa projection fell to 175k points, from 188k; **(iv)** Concerns over fiscal risks, local rates, inflation and the dollar reached record highs; **(v)** 51% see equities as more attractive, but fear further declines.

Allocation to equities remained concentrated below 25%. In October, we observed a shift from the 0-10% range, which fell to 45% (-4 p.p. MoM), to the 10-25% range, which rose to 42% (+6 p.p. MoM). Overall, allocation between 0% and 25% reached 87% (+2 p.p. MoM).

Risk appetite deteriorated sharply. The share of respondents planning to reduce their equity allocation more than doubled to 24% (+13 p.p. MoM), the highest since January 2025, while those planning to increase it fell to 25% (-4 p.p. MoM). 51% do not wish to alter their equity exposure.

Sentiment posted its largest drop in our series, with 34% (-27 p.p. MoM) assigning a score of 7 or higher and the average score falling from 6.8 to 5.1, the lowest since January 2025. The average YE2026 Ibovespa estimate fell to 175k points, from 188k, implying ~4% upside versus the current index level of around 168k points.

International investments gained ground. Fixed Income remains the #1 asset class, although interest fell to 74% (-10 p.p. MoM), while International Investments rose to 48% (+7 p.p. MoM), the highest since January 2025, now in second place.

Domestic macro risks hit record highs. 81% of IFAs point to fiscal risks in Brazil, while higher-than-expected local rates (58%, +29 p.p. MoM), rising inflation (55%, +35 p.p. MoM) and a stronger dollar (51%, +41 p.p. MoM) also reached the highest levels in our series.

On sector preferences, Financials remain on top with 71% (-3 p.p. MoM), followed by Oil & Gas (59%, +1 p.p. MoM), while Utilities (55%, -8 p.p. MoM) and Real Estate (15%, -8 p.p. MoM) lost share.

Finally, most IFAs see value, but fear further declines. 51% consider Brazilian equities more attractive after the drop, but still see a risk of further declines, while 25% believe the drop is justified and only 20% see a good buying opportunity.

Fernando Ferreira, CFA
Chief Strategist and Head of Research
fernando.f.ferreira@xpi.com.br

Raphael Figueredo
Equity Strategist
raphael.sfigueredo@xpi.com.br

Caio Souza
Equity Strategist
caio.lsouza@xpi.com.br

Antonio Mello
Quantitative Equity Strategist
antonio.mello@xpi.com.br

*The survey was conducted between October 27th and 30th, collecting 91 responses.

Regarding their investments in equities, your clients:

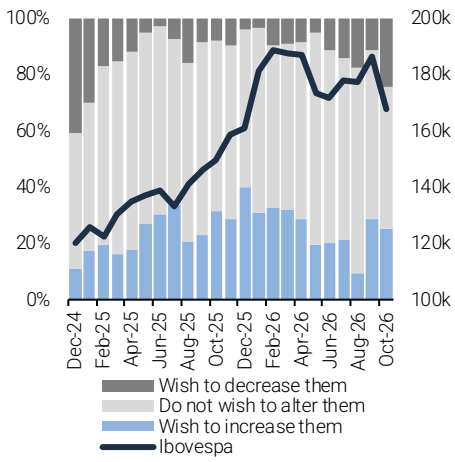


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XP Sentiment Survey

Risk appetite deteriorates sharply

In terms of respondents, the Southeast region's participation in the survey decreased by 4 p.p. to 57% of the responses in the October edition. This was followed by the South (26%, +11 p.p. MoM), its highest share in our series, the Northeast (11%, -9 p.p. MoM), the Midwest (4%, 0 p.p. MoM) and the North (1%, +1 p.p. MoM).

Allocation to equities remained concentrated below 25%. In October, the share of respondents with equity allocations in the 0-10% range decreased to 45% (-4 p.p. MoM), while the 10-25% range increased to 42% (+6 p.p. MoM). At the same time, the 25-50% bracket eased to 10% (-1 p.p. MoM), the 50-75% bracket rose to 2% (+1 p.p. MoM) and the 75-100% bracket fell to 1% (-2 p.p. MoM).

Risk appetite deteriorated sharply. The share of respondents planning to reduce their equity allocation more than doubled to 24% (+13 p.p. MoM), the highest since January 2025, while the share planning to increase it fell to 25% (-4 p.p. MoM). Meanwhile, the share intending to keep their current allocation unchanged dropped to 51% (-9 p.p. MoM), the lowest since December 2024.

The survey captured the immediate reaction to the election. After reaching a record close of 209k points on October 9th, following the first round, the Ibovespa fell 13.9% on October 26th, the first session after the runoff, and ended October at 168k points, down 9.9% in the month. The survey was conducted between October 27th and 30th.

Chart 1: Which region of Brazil is your office located?

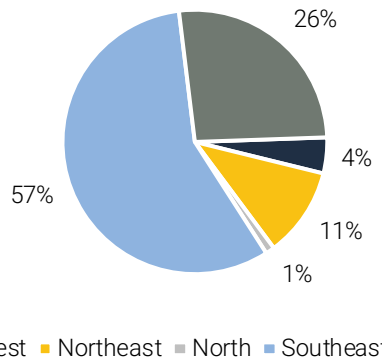


Chart 2: Within your clients' portfolio, the allocation in equities is on average:

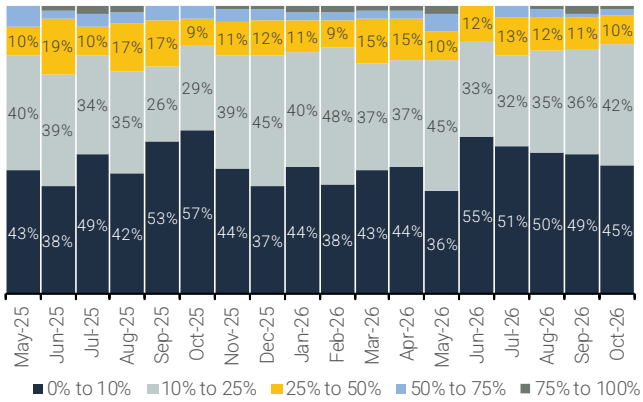
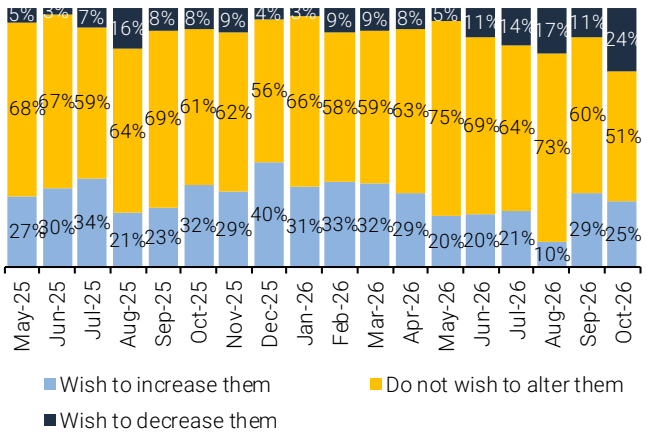


Chart 3: Regarding their investments in equities, your clients:

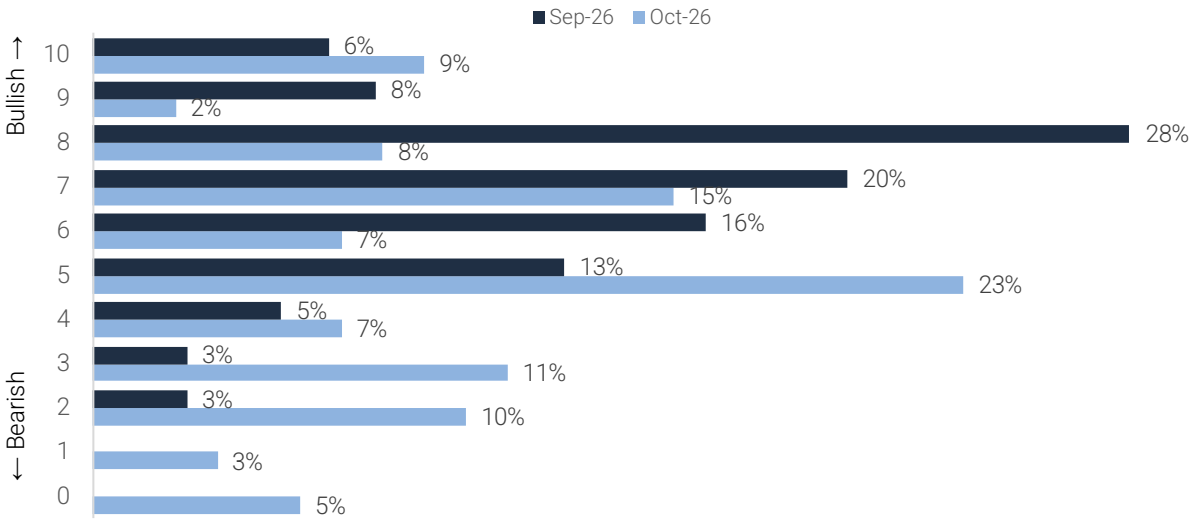


XP Sentiment Survey

IFAs' sentiment posts its largest drop on record

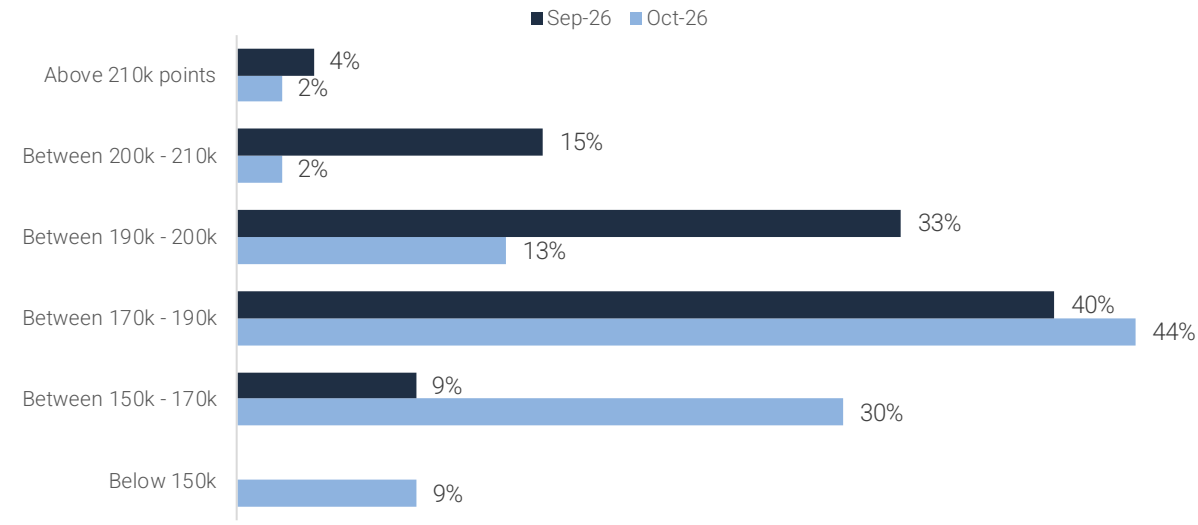
IFAs' sentiment towards Brazilian equities deteriorated sharply, with 34% (-27 p.p. MoM) rating it 7 or higher, while 59% (+36 p.p. MoM) assigned a score of 5 or lower. The average of the responses fell from 6.8 in September to 5.1, the largest monthly drop in our series and the lowest since January 2025.

Chart 4: On a scale of 0 (most bearish) to 10 (most bullish), indicate your current equity sentiment relative to historical terms.



In October, 44% of IFAs (+4 p.p. MoM) indicated that they expect the Ibovespa to end 2026 between 170k and 190k points, still the most cited bracket, while 30% (+21 p.p. MoM) see the index finishing between 150k and 170k points. The average projection fell to 175k points, from 188k previously, implying ~4% upside versus the current index level of around 168k points. Meanwhile, 9% (+9 p.p. MoM) now project the Ibovespa below 150k points by YE2026, while those projecting it above 200k fell to 4% (-15 p.p. MoM).

Chart 5: In your opinion, what is the expected level for Ibovespa YE2026?

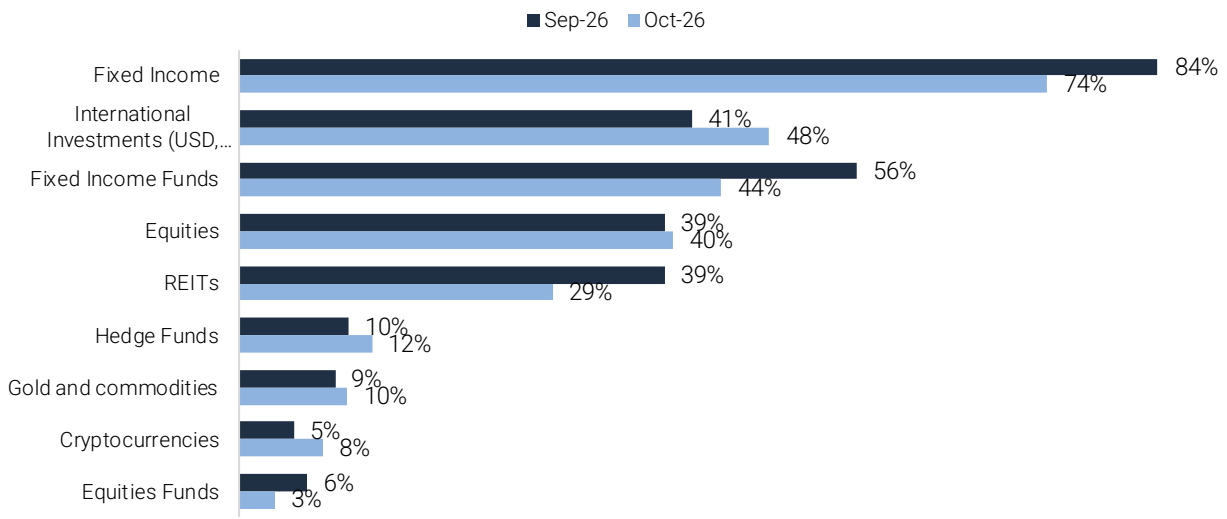


XP Sentiment Survey

International investments gain ground

October's survey shows that **Fixed Income** remains the most demanded asset class among clients, although interest fell to 74% (-10 p.p. MoM), while **Fixed Income Funds** declined to 44% (-12 p.p. MoM). **International Investments** rose to 48% (+7 p.p. MoM), the highest since January 2025, while **Equities** were broadly stable at 40% (+1 p.p. MoM) and **REITs** fell to 29% (-10 p.p. MoM).

Chart 6: Which assets are your clients interested in?



Allocation levels to international assets (Chart 7) moved higher. The 20-50% bracket rose to 15% (+11 p.p. MoM), the highest in our series, while the 5-10% range fell to 21% (-12 p.p. MoM) and the 0-5% bracket eased to 47% (-3 p.p. MoM).

According to our survey, the most in-demand international asset classes are: 1) **ETFs** (68%, +5 p.p. MoM); 2) **International Funds** (46%, -12 p.p. MoM); 3) **BDRs** (42%, -7 p.p. MoM); 4) **Dollar** (37%, +8 p.p. MoM); and 5) **Bonds** (37%, 0 p.p. MoM).

Chart 7: What percentage of your clients already invest in international assets?

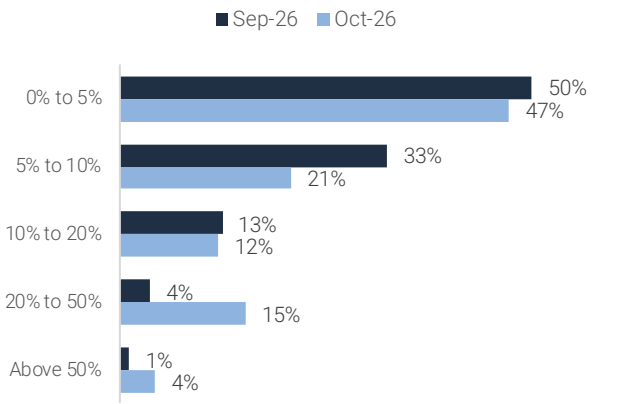
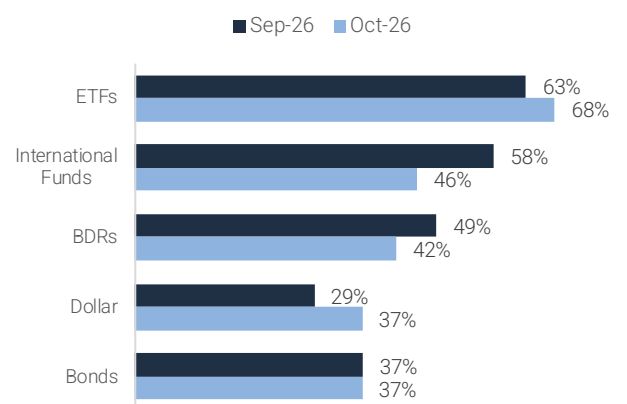


Chart 8: In international investments, your clients are interested in:



Source: XP Research.

XP Sentiment Survey

Domestic macro risks hit record highs

Regarding the main risks for Brazilian equities, 81% (+3 p.p. MoM) of IFAs point to **Fiscal Risks in Brazil**, followed by **Higher-than-expected local rates** (58%, +29 p.p. MoM), **Rising inflation in Brazil** (55%, +35 p.p. MoM) and a **Stronger US dollar** (51%, +41 p.p. MoM), all at record highs. **Political Instability/Elections** eased to 57% (-14 p.p. MoM).

As for factors that would increase risk appetite, a **change of direction in political economy** remains in the lead, cited by 64% (-2 p.p. MoM), followed by **Rate cuts in Brazil**, at 56% (-3 p.p. MoM). **Rate cuts in the US and globally** fell to 15% (-15 p.p. MoM).

On sector preferences, **Financials** remain at the top with 71% (-3 p.p. MoM), followed by **Oil & Gas** (59%, +1 p.p. MoM) and **Utilities** (55%, -8 p.p. MoM). **Pulp & Paper** (18%, +5 p.p. MoM) and **Agribusiness** (12%, +6 p.p. MoM) gained share, while **Real Estate** fell to 15% (-8 p.p. MoM).

Chart 9: What do you think could be the biggest tail risk for Brazilian equities in the coming months?

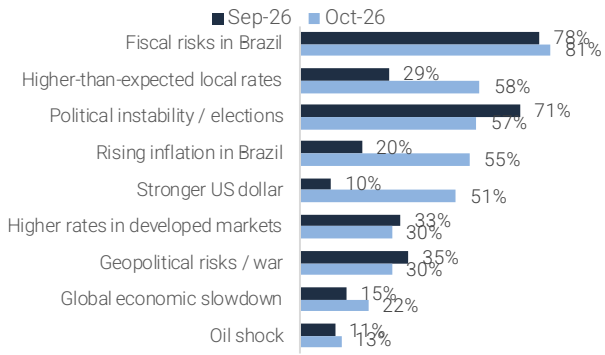


Chart 10: Which of the factors below would increase your risk-appetite for Brazilian equities?

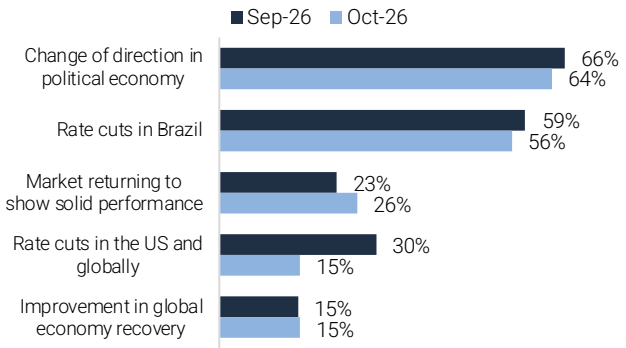
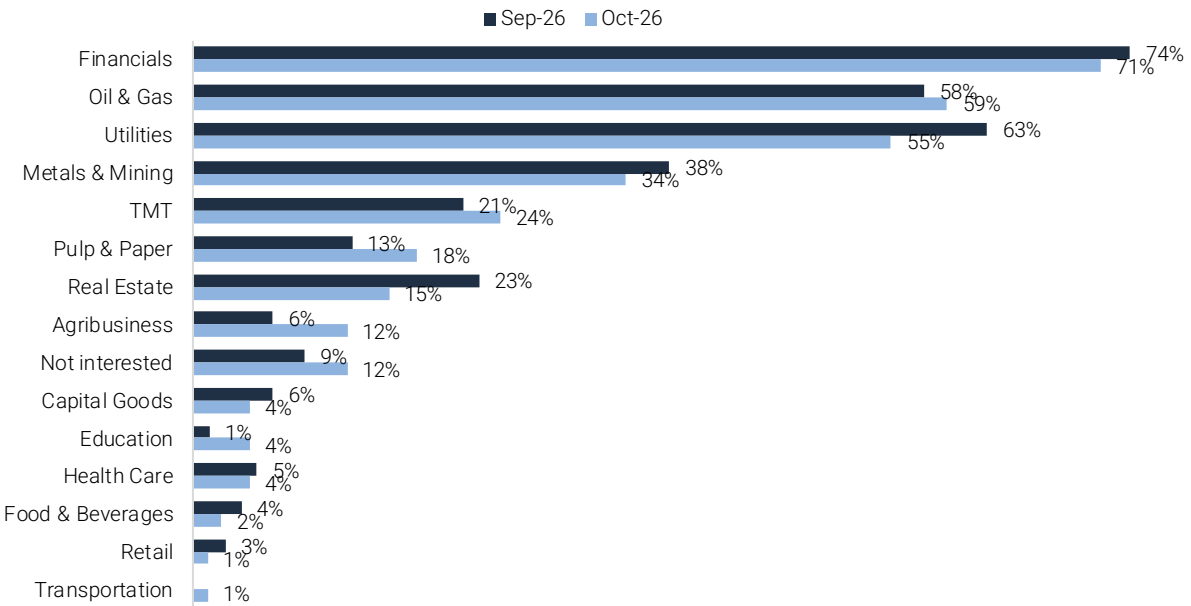


Chart 11: Which sectors are your clients most interested in investing currently?



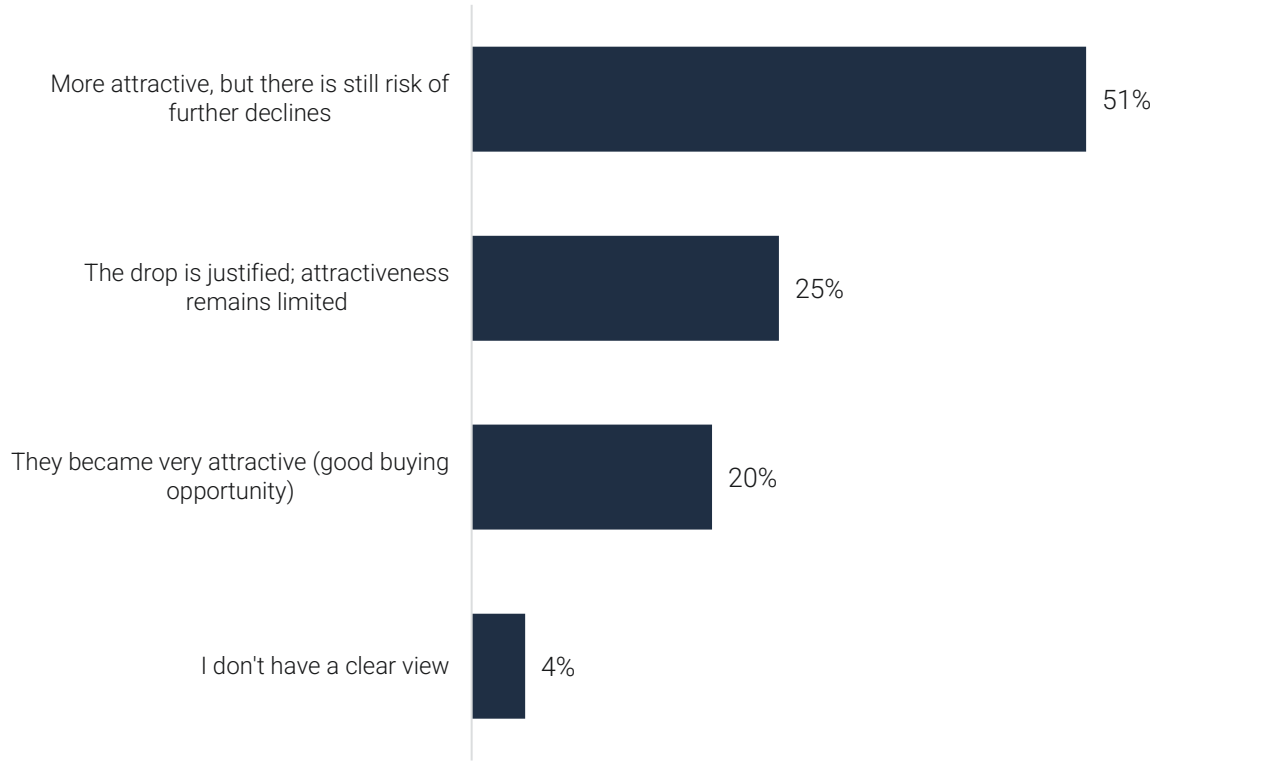
XP Sentiment Survey

Most IFAs see value, but fear further declines

This month, we asked IFAs **how they assess the attractiveness of Brazilian equities after the recent sharp decline**. Half of the respondents (51%) consider them more attractive, but still see a risk of further declines, while 25% believe the drop is justified and attractiveness remains limited. Only 20% see a good buying opportunity, and 4% have no clear view.

In other words, most IFAs acknowledge that valuations have become more attractive after the post-election sell-off, but the uncertainty around the domestic macro outlook still holds back a more constructive view.

Chart 12: After the recent sharp decline, how do you assess the attractiveness of Brazilian equities?



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